

MARABUNTA ACQUISITION VALUATION

Scenario: 100% Zero-Day IP Transfer (Ghost Handover)

1. Addressable Market & Arbitrage Potential

Assuming 100% feature completeness (STARK Harpy Eagle, IsomorphicStateRing, Gateway Assimilator), Marabunta operates as a high-margin arbitrage engine against hyperscaler Cloud HPC.

Metric	Estimated Value (USD)	Notes
Global Cloud HPC TAM (2025)	\$40,000,000,000	Target market for high-compute, latency-tolerant batch workloads.
Theoretical Capture (1%)	\$400,000,000	Gross AWS/Azure spend shifted to Marabunta.
Marabunta Target Pricing	30% of AWS	Strategic price point to guarantee enterprise migration.
Projected Annual Revenue	\$120,000,000	Net new revenue for the acquiring entity (e.g., AT&T, IBM).
Consortium Operating Margin	~85%	Buyer leverages sunk-cost edge infrastructure; near-zero CapEx.

2. Valuation Models

Model A: The Standard Tech M&A (Theoretical Maximum)

Based on traditional enterprise infrastructure multiples (10x - 15x Forward ARR).

- Valuation Range:** \$1.2 Billion - \$1.8 Billion
- Execution Friction:** EXTREME. Requires 12+ months due diligence, SEC/DOJ antitrust scrutiny, Board of Directors approval. High risk of "Vampire Attack" (reverse-engineering during diligence). Incompatible with "Ghost Handoff".

Model B: The Defensive Kill-Shot (Hyperscaler Buyout)

Hyperscaler (AWS/GCP) acquires solely to bury the IP and protect EC2 margins.

- Valuation Range:** \$200,000,000 - \$400,000,000
- Execution Friction:** HIGH. Requires NDAs, strict non-competes, and US regulatory oversight.

Model C: The "Pocket Change" Discretionary Exit (Recommended)

Priced to slip beneath board-level scrutiny and trigger immediate, unilateral execution by a Senior VP at a Tier-1 Telco or Legacy Enterprise.

- Valuation Range:** \$35,000,000 - \$50,000,000
- Execution Friction:** LOW. Falls within quarterly discretionary M&A budgets. Enables rapid cash settlement via offshore escrow.

3. The "Ghost Handover" Risk Discount

Selling as a "Zero-Day" asset where the founder immediately disappears (no 4-year vesting, no public integration period) severely impacts traditional valuation mechanics. Buyers demand a massive discount for assuming 100% of the execution and maintenance risk.

Valuation Metric	Amount (USD)
Baseline IP Value (1x ARR)	\$120,000,000
"Ghost Handover" Penalty	- 60%
Adjusted Fair Market Value	\$48,000,000

4. Executive Summary & Recommended Ask

Category	Figure (USD)
Target Ask (Cash, Escrow)	\$45,000,000
Minimum Acceptable Floor	\$25,000,000
Knowledge Transfer Period	90 Days (Remote/Proxy Only)
Post-Sale Residual IP Rights	0% (Clean Break)

Strategic Rationale for \$45M Ask:

- 1. **Speed to Liquidity:** Avoids multi-year corporate indentured servitude.
- 2. **Bypass Regulatory:** Avoids DOJ/ITAR export control triggers typical of \$100M+ dual-use technology acquisitions.
- 3. **The "MAD" Leverage:** \$45M is easily justifiable against the Mutually Assured Destruction threat of open-sourcing the Gateway Assimilator to the public.